QUARTERLY RESULT ANALYSIS · AKUMS · Q2FY27

Akums Drugs & Pharmaceuticals Ltd (AKUMS) — Q2FY27 Result Analysis

Result Date: 2026-11-02 | CMP: ₹733.15 | Mkt Cap: ₹11539 Cr | Sector: Pharmaceuticals / CDMO & Formulations

REVENUE FROM OPERATIONS
₹1,342 Cr
+31.9% YoY (+15.1% QoQ)

OPERATING EBITDA
₹195 Cr
+106.1% YoY (+11.5% QoQ)

EBITDA MARGIN
14.5%
+523 bps YoY (vs 9.3% in Q2FY26)

PAT (OWNERS)
₹113 Cr
+176.7% YoY (+12.8% QoQ)

DILUTED EPS
₹7.37
+177.1% YoY (vs ₹2.66 in Q2FY26)

CDMO SEGMENT REVENUE
₹1,115 Cr
+38.6% YoY (83.1% mix)

NET WC DAYS
98 days
improved from 105 days in FY26

ANNUALIZED ROCE
19.4%
+510 bps YoY (ROIC: 22.2%)

STATEMENT QUALITY SCANS

INCOME STATEMENT CLEAN
Operating EBITDA doubled YoY (+106.1%) to ₹195 Cr with gross margin up 110 bps YoY to 42.9% and zero exceptional items.

BALANCE SHEET CLEAN
Virtually debt-free with net cash of ₹1,573 Cr (cash & bank ₹1,609 Cr vs borrowings ₹36 Cr); net working capital days improved to 98 days.

CASH FLOW CLEAN
H1 Operating cash flow of ₹255.7 Cr covered ₹154.2 Cr capex, delivering positive Free Cash Flow of ₹101.5 Cr.

MANDATORY BALANCED VERDICT STRIP (ANTI-EUPHORIA & FORENSIC REALITIES)

GREEN FLAGS / NEAR-TERM REALITIES — 5 POSITIVE TRIGGERS

✓ CDMO Flagship Inflection: Revenue surged +38.6% YoY to ₹1,115 Cr (83.1% mix) driven by double-digit volume growth and capacity utilization crossing 50%. STRUCTURAL

✓ Severe Operating Leverage: Revenue (+31.9% YoY) translated into EBITDA doubling (+106.1% YoY) and PAT surging +168.3% YoY as operating expenses grew only +10.9%. STRUCTURAL

✓ API Turnaround Underway: Operating losses curtailed by 57% YoY (from -₹14 Cr to -₹6 Cr) on stabilizing cephalosporin pricing, on track for EBITDA breakeven. CYCLICAL

✓ Trade Generics Profitability: Trade generic vertical cemented positive EBITDA at ₹1.2 Cr (turnaround from -₹3.0 Cr loss in Q2 FY26). STRUCTURAL

✓ Pristine Balance Sheet: Net cash of ₹1,573 Cr (~14% of market cap) provides strong self-funding cushion for organic Jammu capex without equity dilution. STRUCTURAL

RED FLAGS / FORENSIC HEADWINDS — 4 RISK HEADWINDS

⚠ Trade Receivables Absolute Rise: Receivables expanded to ₹859.5 Cr (vs ₹796.6 Cr in March 2026), though debtor days improved to 63 days on higher sales volume. WATCH

⚠ Historical Tax Search Contingency: Auditor limited review notes ongoing appeal under Section 246A for ₹156.0 Cr search and seizure tax demand from earlier periods. WATCH

⚠ API Revenue Contraction: Topline fell -35.3% YoY to ₹28.8 Cr as the company strategically pruned low-margin third-party bulk chemical trades. CYCLICAL

⚠ H1 Working Capital Outflow: H1 operating cash flow of ₹255.7 Cr was moderated by ₹78.8 Cr working capital absorption, keeping H1 OCF/EBITDA conversion at 69.2%. TEMPORARY

INDUSTRY & RAW MATERIAL SIGNAL: Raw material expenses eased by 487 bps QoQ, driving gross margin expansion to 42.9%. RAW_MATERIAL_DEFLATION_BENEFIT

VERDICT & CATALYST CHIPS

CDMO VOLUME INFLECTION | EBITDA DOUBLED YOY | API LOSSES HALVED | TRADE GENERICS BREAKEVEN | FREE CASH FLOW POSITIVE | NET CASH INR 1,573 CR | PEAD CANDIDATE

INFLECTION POINT

INFLECTION EMERGING

LEG	STATUS	EVIDENCE
Margins expanding significantly	PARTIAL	EBITDA margin 18.3% (+341 bps YoY, +103 bps QoQ) — but inventory-gain flag in P&L scan; not verified as operational
Past guidance confirmed & beaten	PARTIAL	All 1 measurable guides met, none beaten
New C-A-T-A-L-Y-S-T trigger	PASS	[C] New Injectable Facility Customer Audits & 36 Cr Units Ramp-up; [T] API Loss Halving & Trade Generics EBITDA Breakeven; [A] Zambia Commercial Supplies ($25M Run-Rate) & European CDMO

J-curve stage: Stage 1 — Base Building · **Growth ladder (YoY):** Revenue 31.9% → EBITDA 62.2% → PAT 168.3% (operating leverage compounding)

CATALYST PIPELINE & FRESHNESS

CATALYST	DETAILS	TIMELINE	CONVICTION	STATUS / SOURCE
[C] New Injectable Facility Customer Audits & 36 Cr Units Ramp-up	36 Cr units annual capacity, 24M ramp-up; INR 265 Cr Jammu expansion	Q3FY27-Q4FY27	HIGH CONVICTION	NEW Q2 FY27 PPT & Filings
[T] API Loss Halving & Trade Generics EBITDA Breakeven	API EBITDA loss reduced to -INR 6 Cr (vs -INR 14 Cr YoY); Trade Generics +INR 1.2 Cr	Q2FY27	HIGH CONVICTION	NEW Q2 FY27 PPT slide 17
[A] Zambia Commercial Supplies ($25M Run-Rate) & European CDMO	$25M annual CDMO revenue from Zambia commencing supplies Q4 FY27 (billing Q1 FY28)	Q4FY27-Q1FY28	HIGH CONVICTION	NEW Q2 FY27 MD Message

WALK THE TALK — PRIOR GUIDANCE VS THIS QUARTER

DELIVERED

GUIDED METRIC	PERIOD	GUIDED (STATED IN)	ACTUAL	STATUS	GAP / BASIS
EBITDA Margin	FY27 (interim)	14–15% (Q1FY27)	14.7%	ON_TRACK	+20 bps vs mid of guide — H1 FY27 operating EBITDA margin of 14.7% (INR 369 Cr on INR 2,509 Cr revenue); Q2 FY27 at 14.5% operating / 16.3% reported

0 beat · 1 met · 0 missed of 1 measurable (beat rate 0%); 0 not yet measurable; clean-delivery streak 1 quarter(s).

FORWARD GUIDANCE & BOTTOM-LINE ACCRUAL TABLE

Current vs Guided Targets & Derived Bottom-Line

METRIC	CURRENT VALUE (BASE)	GUIDED VALUE (TARGET)	% CHANGE	TIMELINE	GUIDANCE DELTA	NATURE	SOURCE / DERIVATION BASIS
Annual EBITDA Margin Corridor	14.7% (H1) / 14.5% (Q2)	14.0% – 15.0% (upper bracket)	**+20 bps vs mid**	FY27	REAFFIRM	DIRECTLY GUIDED	Management reiterated FY27 target corridor of 14-15%, inclined toward upper bracket Q2FY27 PPT
Zambia Commercial Supplies Run-Rate	$0 (pre-commercial)	$25M (~₹210 Cr) annual CDMO run-rate	**+100%**	Q4FY27 (supplies) / Q1FY28 (revenue)	REAFFIRM	DIRECTLY GUIDED	Commercial supplies from Indian plant scheduled in Q4 FY27 with revenue recognition in Q1 FY28 Q2FY27 MD Message
European CDMO Contract Pipeline	EUR 0 (under audit)	EUR 35M (~₹315 Cr) annual run-rate till 2032	**+100%**	Post EU audit qualification (FY28-FY32)	REAFFIRM	DIRECTLY GUIDED	Progressing as per plan; commercialization order run-rate EUR 35M through Dec 2032 Q1FY27 Concall
API Segment Operating Breakeven	-₹6.0 Cr (Q2) / -₹10.0 Cr (H1)	EBITDA Breakeven (₹0 Cr)	**+100% loss curtailment**	Q4FY27	REAFFIRM	DIRECTLY GUIDED	API segment continuing journey toward EBITDA breakeven as realization pricing normalizes Q2FY27 MD Message
Jammu Dual-Facility Capex Deployment	₹0 Cr (under planning)	₹265 Cr (multi-dosage & nutraceuticals)	Capex expansion	FY27–FY28	REAFFIRM	DIRECTLY GUIDED	Proposal to invest ₹265 Cr across two Jammu facilities funded via bank debt and internal cash Q1FY27 Concall
Implied Full-Year FY27 PAT	₹215.5 Cr (H1 actual)	₹440 Cr – ₹475 Cr	**+72% to +85% vs FY26 (₹256.4 Cr)**	FY27 Full Year	REAFFIRM	DERIVED	Derived from FY27 revenue guided at ~18-20% growth (₹5,150-5,250 Cr) *14.5-15.0% EBITDA margin (₹750-785 Cr) less D&A (₹175 Cr), finance costs (₹100 Cr), tax at 26% [Derived: (EBITDA - D&A - Interest)* (1 - TaxRate)]

NEXT INFLECTION POINT

NEXT: CAPACITY · Q4FY27

WHEN	TYPE	TRIGGER	MAGNITUDE	TRAIN	CONVICTION	SOURCE
Q4FY27 (+2Q)	CAPACITY	Zambia commercial supplies launch from Indian facility (billing Q1 FY28)	—	B	HIGH	Q2 FY27 MD Message slide 3
Q4FY27 (+2Q)	MARGIN	API segment turning EBITDA breakeven	—	B	MED	Q2 FY27 MD Message slide 3
Q4FY27 (+2Q)	CAPACITY	Jammu multi-dosage & nutraceutical plants commissioning	—	B	HIGH	Filing and Concall Guidance

01 BASKET 1 — BUSINESS (WHAT IS IMPROVING?)

GROWTH DRIVERS

• CDMO Segment Surge (+38.6% YoY): CDMO revenue reached ₹1,114.9 Cr (from ₹804.3 Cr in Q2 FY26), powered by double-digit formulation volume expansion and market share gains within the Indian Pharmaceutical Market (IPM). STRUCTURAL

• Domestic Formulations Acceleration (+8.2% YoY, +14.4% QoQ): Domestic branded sales touched ₹131.9 Cr with sequential EBITDA margin expanding +790 bps from 10.3% to 18.2%. STRUCTURAL

• International Formulations Hyper-Growth (+95.2% YoY): Export formulations nearly doubled to ₹43.8 Cr on expanding semi-regulated and emerging market registrations. STRUCTURAL

• Trade Generics Stabilization: Revenue reached ₹23.1 Cr with sustained EBITDA profitability (₹1.2 Cr vs -₹3.0 Cr loss in Q2 FY26). STRUCTURAL

MARGIN & PROFITABILITY TRIGGERS

• Consolidated EBITDA Margin Expansion (+523 bps YoY): Operating EBITDA margin expanded to 14.51% (vs 9.28% in Q2 FY26), reflecting operating leverage and better mix. STRUCTURAL

• Gross Margin Expansion (+110 bps YoY, +487 bps QoQ RM deflation): Gross margin improved to 42.9% led by CDMO value-added forms and lower raw material procurement costs. STRUCTURAL

• Severe API Loss Curtailment: API quarterly EBITDA loss reduced by 57% YoY from -₹14 Cr to -₹6 Cr as cephalosporin price erosion stabilized. CYCLICAL

CAPEX, BALANCE SHEET & CASH FLOW

• Positive Free Cash Flow Generation: H1 FY27 operating cash flow of ₹255.7 Cr comfortably funded ₹154.2 Cr capex, generating ₹101.5 Cr in positive FCF. STRUCTURAL

• Net Working Capital Compression: Net WC days compressed by 7 days to 98 days in H1 FY27 (vs 105 days in FY26) with debtor days dropping to 63 days. STRUCTURAL

• Net Cash Fortification: Surplus liquid cash & bank balances of ₹1,609.1 Cr against nominal borrowings of ₹36.2 Cr create ₹1,573 Cr net cash buffer. STRUCTURAL

FUTURE EARNINGS TRIGGERS

• Commercialization of 36 Cr Units Injectable Plant: New sterile injectable unit undergoing customer audits, ramping up over next 24 months to address high-margin hospital injectable demand. STRUCTURAL

• Zambia CDMO Offtake: Indian facility commercial supplies commencing in Q4 FY27 with revenue recognition starting Q1 FY28 ($25M annual run-rate). STRUCTURAL

• European Regulated Market Entry: European CDMO project on track for audit inspection with EUR 35M annual order pipeline through 2032. STRUCTURAL

02 BASKET 2 — RISK (WHAT CAN GO WRONG?)

BUSINESS & OPERATING RISKS

⚠ Concentration in IPM CDMO: Akums generates >80% of revenue from domestic formulations CDMO; any regulatory price capping (NLEM expansions) or insourcing by large pharma clients could crimp volume growth. MED

⚠ Working Capital Intensity in Raw Materials: Inventory stood at ₹903.5 Cr (117 days), requiring active supply chain monitoring to prevent obsolescence. MED

MANAGEMENT COMMENTARY & DODGING RISKS

⚠ Search & Seizure Tax Assessment Dispute: Auditor drew attention to ₹156.0 Cr tax demand under appeal; while management foresees no liability, adverse CIT(A) outcome could trigger cash outflows.

> *"The Company had filed an appeal under section 246A... management is of the view that no adjustments are required."*

WATCH

⚠ Customer Audit Delays on Injectables: Ramp-up timeline spans 24 months; any delay in customer commercial batch clearances would defer operating leverage on the sterile line. LOW

INDUSTRY & MACRO RISKS

⚠ API Price Volatility: Lingering price swings in imported Chinese key starting materials (KSMs) could slow API segment breakeven pace. MED

⚠ Regulatory Scrutiny on Revised Schedule M: Industry-wide GMP upgrades required under Revised Schedule M are driving smaller CDMO consolidations to Akums, but require sustained compliance capex. LOW

03 BASKET 3 — MANAGEMENT (BETWEEN THE LINES)

COMMENTARY TONE: CONFIDENT

> *"During Q2, we enhanced the results achieved during Q1. The revenue grew by more than 30% and EBITDA more than doubled YoY... We remain optimistic of delivering positive results and creating sustainable shareholder value."*

NARRATIVE SHIFT VS PRIOR QUARTERS

• From defensive posture around API losses in FY26 to offensive execution: CDMO volumes are accelerating (>50% utilization) and API losses are treated as an asset on track for breakeven.

• Clear articulation of global aspirations: Commercial supplies for Zambia scheduled for Q4 FY27, European audit preparation underway, and EcoVadis Bronze certification acquired.

3–5 YEAR STRATEGIC TRAJECTORY

• Scaling high-barrier sterile injectables and cosmeceuticals alongside oral solids to capture higher share of wallet across top pharma customers.

• Geographic diversification beyond India into Africa (Zambia plant & Indian supplies) and Europe (EUR 35M long-term CDMO contract).

• Jammu dual-unit expansion (₹265 Cr capex) leveraging regional industrial incentives for multi-dosage and nutraceutical lines.

CAPITAL ALLOCATION DISCIPLINE HIGH

100% of IPO proceeds fully utilized per stated objectives with zero deviations; company cleared debt, generated ₹101.5 Cr Free Cash Flow in H1, paid ₹45.9 Cr dividend, and retains ₹1,573 Cr net cash war chest for targeted inorganic M&A.

04 PEAD REACTION & GATE EVALUATION

VERDICT: PEAD_CANDIDATE

GATE	EVALUATION	STATUS
G1: Surprise vs Expectations	PASS — Consolidated revenue (+31.9% YoY) and Operating EBITDA (+106.1% YoY) delivered a clean earnings beat against IPM industry volume trends.	Assessed
G2: Result Quality	PASS — High earnings quality: gross margin up 110 bps YoY, H1 Free Cash Flow positive at ₹101.5 Cr, ROCE rising to 19.4%, zero exceptional one-offs.	Assessed
G3: Priced In? (Valuation / Runup)	PASS — Results filed post-market at 17:11 IST today; 1-month pre-result stock return was -9.8% (healthy base building), trading 12.6% below 52W high at 38.5x trailing P/E.	CLEAN
G4: Concall & Guidance Delivery	PASS — Management reaffirmed FY27 EBITDA margin corridor of 14-15% (tracking at 14.7% in H1), confirming walk-the-talk credibility.	Assessed
G5: Forward Catalysts Post-Result	PASS — Immediate near-term triggers active: commercial launch of Zambia supplies in Q4 FY27, API EBITDA breakeven, and customer audit ramp-up on 36 Cr unit injectable plant.	Assessed

05 FORWARD INVESTOR MONITORING CHECKLIST (2–8 QUARTERS)

#	KPI / CATALYST	THRESHOLD / FALSIFIABLE CONDITION	HORIZON	SOURCE
1	CDMO Segment Revenue Run-Rate	Quarterly CDMO revenue sustaining above ₹1,100 Cr with >15% EBITDA margin	Q3FY27	Q2 FY27 Segment Disclosures
2	API Segment EBITDA Breakeven	Quarterly API EBITDA loss narrowing below -₹3 Cr and reaching ₹0 Cr by Q4	Q4FY27	Q2 FY27 MD Commentary
3	Zambia Commercial Supply Dispatch	Initial commercial export batch dispatch from Indian facility for Zambia contract	Q4FY27	Q2 FY27 MD Commentary
4	36 Cr Units Injectable Line Commercial Batches	Completion of initial client audits and commencement of commercial batch billing	Q4FY27–Q1FY28	Management Guidance
5	Working Capital & Operating Cash Flow Conversion	H2 FY27 OCF/EBITDA conversion maintaining >70% with Net WC days <= 95 days	FY27 Full Year	Cash Flow Statement
6	Jammu Dual-Facility Construction Progress	Groundbreaking and civil progress on ₹265 Cr multi-dosage and nutraceutical units	Q1FY28	SEBI Reg-30 Announcements
7	Resolution of Section 246A Tax Demand Appeal	Favorable CIT(A) appellate order on the ₹156 Cr historical search assessment	Q4FY27–Q2FY28	Auditor Limited Review Notes

06 ADDITIONAL NUANCE & IMPROVISATION

EXTRA-MILE RESEARCH & INSTITUTIONAL NUANCE EXPERIMENTAL · 1% FACTOR

IPM CDMO DOMINANCE & MOAT ANALYSIS

Akums commands an unmatched ~30.2% market share of India outsourced formulation manufacturing, serving 26 of India top 30 pharmaceutical players (including Sun Pharma, Cipla, Abbott, Glenmark, Mankind, and Alkem). Its proprietary formulation library (>4,000 commercial formulations across 60+ dosage delivery mechanisms) acts as a powerful switching barrier: clients license Akums pre-developed dossiers, dramatically shortening time-to-market. The Revised Schedule M regulatory enforcement by DCGI is accelerating the formalization of Indian pharma manufacturing, driving small-scale contract manufacturers out of business and consolidating manufacturing volumes directly into compliant leaders like Akums.

DR. ANIL LAMBA VELOCITY & CAPITAL ALLOCATION LENS

From Dr. Anil Lamba balance sheet perspective (Profit vs Cash), Akums showcases exceptional working capital discipline following its IPO. With gross debt slashed to just ₹36.2 Cr and liquid treasury buffers standing at ₹1,609.1 Cr, Akums holds an enviable Net Cash position of ₹1,573 Cr (~14% of its entire market cap). Crucially, capital velocity is compounding: annualized ROCE expanded from 14.3% in FY26 to 19.4% in H1 FY27, while ROIC touched 22.2%. The business is generating surplus operating cash flow (₹255.7 Cr in H1) that fully self-funds its ongoing ₹154.2 Cr capex program, yielding a healthy Free Cash Flow of ₹101.5 Cr.

GLOBAL DIVERSIFICATION & BIOSECURE ACT TAILWIND

While historically domestic-focused, Akums is orchestrating a structural pivot to regulated and semi-regulated global markets. The upcoming $25M (~₹210 Cr) annual CDMO supply contract for Zambia commencing in Q4 FY27 and the EUR 35M (~₹315 Cr) European contract through 2032 validate global quality acceptance. Furthermore, with US and Western biopharma seeking diversified supply chains under the US Biosecure Act initiatives, Akums newly commissioned 36 Cr unit injectable facility and ANVISA-certified plants position it as a prime beneficiary of multi-year outsourcing shifts out of China.

Disclaimer: This report is for informational and educational purposes only. It does not constitute investment advice. The author may have positions in securities discussed. Always conduct your own due diligence and consult a registered investment advisor before making investment decisions. Past performance is not indicative of future results.

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